

ELITE DIVERGENCE PLAYBOOK

SECTION 1: WHAT IS RSI DIVERGENCE

RSI divergence occurs when price and momentum disagree.

- Bullish Divergence: Price makes lower lows, RSI makes higher lows.
- Bearish Divergence: Price makes higher highs, RSI makes lower highs.

SECTION 2: IDENTIFYING EXACT CANDLES (FROM YOUR CHART)

Step 1: Identify the impulse move down (large red candles).

Step 2: Mark the FIRST low after the drop (Candle A). RSI is deeply oversold.

Step 3: Identify the SECOND test of lows inside consolidation (Candle B).

Step 4: Compare RSI values:

- Candle A RSI = lower
 - Candle B RSI = higher
- This confirms bullish divergence.

SECTION 3: VISUAL MODEL

Impulse ↓ → Base → Higher RSI → Breakout

SECTION 4: VWAP INTEGRATION

- Price below VWAP = bearish control
- Reclaim VWAP after divergence = strong long signal
- Use VWAP as target or confirmation

SECTION 5: VOLUME PROFILE

- Look for high volume nodes (HVNs) inside consolidation
- Divergence near HVN = accumulation
- Low volume areas = breakout zones

SECTION 6: OPTIONS FLOW (DEALER POSITIONING)

- High put buying = downside pressure
- If divergence forms while puts are elevated → possible squeeze
- Watch gamma zones for pinning effects

SECTION 7: EXECUTION PLAYBOOK

Entry:

- Break of micro resistance OR RSI > 50

Stop:

- Below divergence low

Targets:

- VWAP
- Range high

SECTION 8: FAILURE CONDITIONS

- Price breaks lower low
- RSI rolls over

TLDR:

- Divergence = momentum shift
- Confirm with VWAP + volume + structure
- Trade the reaction, not just the signal